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Illustration 8

Anand bought a machinery for ` 1,00,000 on 1-1-2015. On 1-6-2016, he bought another machine for ` 50,000. On 1-10-2017, he purchased another machine for ` 20,000. Provide depreciation at 10% p.a. on straight line method. Prepare machinery account for the years 2015 to 2017 by using accounts by assuming accounts are closed on 31st December every year.

Solution
Ledger accounts

Dr. **Machinery Account** **Cr.**

Date	Particulars	`	Date	Particulars	`
2015			2015		
Jan 1	To Bank A/c	1,00,000	Dec 31	By Depreciation A/c	10,000
			Dec 31	By Balance c/d	90,000
		1,00,000			1,00,000
2016			2016		
Jan 1	To Balance b/d	90,000	Dec 31	By Depreciation A/c	12,500
June 1	To Bank A/c	50,000	Dec 31	By Balance c/d	1,27,500
		1,40,000			1,40,000
2017			2017		
Jan 1	To Balance b/d	1,27,500	Dec 31	By Depreciation A/c	15,500
Oct 1	To Bank A/c	20,000	Dec 31	By Balance c/d	1,32,000
		1,47,500			1,47,500
2018 Jan1	To Balance b/d	1,32,000			

Note:

Depreciation for 2015: 1,00,000 × 10% = 10,000

2016: 1,00,000 × 10% = 10,000

(+) 50,000 x 10% x 6/12 = 2,500 12,500

2017: 1,00,000 x 10% = 10,000

(+) 50,000 x 10% = 5,000

(+) 20,000 x 10% x 3/12 = 500 15,500

10.9 Calculation of profit or loss on sale of asset

Sometimes, a business may sell an asset. In that case, the profit or loss on sale is to be calculated and accounted in the books. To find the profit or loss on sale of asset, the book value of the asset on the date of sale and the sale price are to be compared. Book value of